



GOVERNMENT BUDGET AND THE ECONOMY

Title: government budget and the economy basic learning

ELI5 VERSION | CREATED BY THUNDERSTUDY 🧠✨



Imagine a Country is Like a Big Family

Think of India as a huge family. Just like your home:

👉 Money comes in 💰

👉 Money goes out 💸

👉 Someone must plan how to use money wisely.

That planning = Government Budget.



What is a Government Budget?

👉 A Government Budget is simply: **A yearly plan of how much money the government will earn and spend.**

It is made every year by the government. Like parents plan monthly expenses, the government plans national expenses.



1. Government Income (Receipts)

This is money coming **IN**.



(A) Revenue Receipts — Regular Income

Money earned without selling assets or increasing liability.



Taxes (GST, Income Tax)



Fees & Fines



(B) Capital Receipts — Borrowed or Asset Money

Money received by taking loans, selling government property, or recovering past loans.



2. Government Spending (Expenditure)

This is money going **OUT**.



(A) Revenue Expenditure

Daily running expenses: Salaries (Teachers/Police), Subsidies, Interest payments.



(B) Capital Expenditure

Money spent to create assets: Building roads, Schools, Hospitals, Railways.



Budget Balance (Very Important!)

- 👉 **1 Balanced Budget:** Income = Spending (Perfect balance).
- 👉 **2 Surplus Budget:** Income > Spending (Government saves money).
- 👉 **3 Deficit Budget:** Spending > Income (Government needs loans).

Note: India usually runs a deficit budget.



What is Fiscal Deficit?

Big exam question ★

👉 Fiscal Deficit means: **How much extra money the government needs to borrow.**

$$\text{Fiscal Deficit} = \text{Total Expenditure} - \text{Total Receipts (excluding borrowings)}$$

Meaning: Government spent more than it earned organically.



Objectives of Government Budget

- 👉 **1 Growth:** Stimulate the economy for development.
- 👉 **2 Reduce inequality:** Use taxes to help the poor.
- 👉 **3 Stability:** Control prices (inflation) and unemployment.
- 👉 **4 Public welfare:** Invest in social services.



Super Quick Revision (30-Second Memory Trick)

Budget = Income + Spending Plan

Income: Revenue vs Capital Receipts

Spending: Revenue vs Capital Expenditure

Balance: Balanced, Surplus, or Deficit

★ **Key term: Fiscal Deficit = Borrowed money needed**



One-Line Story Version: "Government budget is like a yearly money plan where the country decides how to earn, spend, and sometimes borrow money to run the nation."

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